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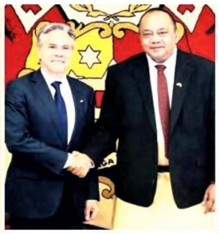

TO ARUNACHAL ATHLETES

'Stapled visas show PRC not keen on peace with India'

Wang Yi's false claim to Ajit Doval at BRICS NSAs' meeting stands exposed.

T. BRAJESH
NEW DELHI

Just hours after the Chinese authority issued stapled visas to three sportspersons from Arunachal Pradesh evoking strong protests from the Ministry of External Affairs (MEA), the President of People's Republic of China (PRC) Xi Jinping on Friday called on young people from around the globe to "join hands to promote world peace and development". Xi made these remarks while addressing a welcoming banquet ahead of the opening ceremony of the 31st summer edition of the FISU World University Games in Chengdu, capital city of southwest China's Sichuan Province. "India views Xi's remarks as something that exposes his hypocrisy and double standards. While his country issues stapled visas to young athletes from India's Arunachal Pradesh, leading to withdrawal of the Indian team from the games, the Chinese President is calling on the youth to participate in the movement for

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EXPERTISE

IN G-20 AND SCO, PM MODI NAVIGATES TURBULENCE IN 2023

India has managed to steer the G-20 in a way that establishes New Delhi's credentials as a platform where even bitter rivals can participate. Within the SCO, India is resisting efforts to get the organisation to take sides in the ongoing Cold War 2.0.

MADHAV NALAPAT
NEW DELHI

When India took over the year-long rotating Presidency of the G-20 last November from Indonesia, the global faultlines typified in the Russia-Ukraine conflict since 24 February 2022 were visibly expanding. Given that the G-20 included both sides involved in the conflict, the Sino-Russian alliance as well as the G-7, it was apparent that tensions within the larger group would escalate as 2023 progressed. Rather than follow the conventional route and give the rotating presidency little domestic importance and despite the challenges that would come up during that period, Prime Minister Narendra Modi took the decision to showcase India's presidency to the people of India. In that way, two messages were conveyed, the first being that India was clearly at the Top Table so far as the international order was concerned. Till recently, it had been the UN Security Council that had been considered as the world order's apex body, but the reluctance of the PRC to admit as a Permanent UNSC Member the world's most populous country (and what will soon be its third largest economy) has ensured that the premium that the UNSC once enjoyed in the public mind had dimmed into insignificance. The permanent veto-wielding membership of just 5 countries in the UNSC now functions as a divided house. While there were illusions about getting China to join hands with the G-7 where pressure on Russia was concerned were high among its members throughout the past year, such optimism has been shown to be unrealistic.

CCP General Secretary Xi Jinping seeks to substantially expand the SCO and BRICS so as to include not just anti-western countries but countries that are veering away from support to the US and its allies, such as seems the situation with

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TOP OF SATURDAY

BIOMETRIC CAPTURE OF ILLEGAL MYANMAR IMMIGRANTS IN MANIPUR

IMPHAL: The government of Manipur has resumed its campaign for biometric capture of all "illegal" Myanmar immigrants in the state from Saturday on the instructions of the Ministry of Home Affairs, an official release said. "On instructions of the Ministry of Home Affairs, Government of India to complete the campaign for biometric capture of illegal Myanmar immigrants in the State of Manipur by September 2023; the Government of Manipur has resumed its campaign for biometric capture of illegal Myanmar immigrants in the state from today," the release said.

MUMBAI COPS ON ALERT AFTER CHABAD HOUSE IMAGE FOUND WITH 'TERRORISTS'

MUMBAI: Mumbai Police increased security outside Chabad house in Colaba after a Google image of Chabad house was recovered from two suspected terrorists arrested for planning an attack in Rajasthan. Notably, Chabad house was one of the targets of 26/11 terror attack in Mumbai in 2008. The ATS has taken custody of Mohammad Imran Mohammad Yunus Khan and Mohammad Yunus Mohammad Yakub Saki—residents of Ratlam, Madhya Pradesh from Pune a few days ago and during investigation, police got the Google image of Chabad house from them. Earlier, Maharashtra ATS arrested one person from Pune for giving shelter to both the suspected terrorists.

INDIAN NAVY ENDS 'COLONIAL LEGACY'

NEW DELHI: In line with government's direction to shed colonial legacy, the Indian Navy has ended the practice of carrying batons by all its personnel with immediate effect. The Navy has now instructed that a ceremonial baton be placed in the office of the head of the organisation of every unit, adding that the ceremonial handover of the baton may be undertaken within office as part of change of command.

Is China watching?

Indian and Mongolian soldiers seen in action during their joint military exercise, Nomadic Elephant 2023, in Mongolia's Ulaanbaatar, on Friday. ANI

'IT'S ILLEGAL'

20,000 trees to be axed to lay water pipeline in Punjab, probe ordered

TARUNI GANDHI
CHANDIGARH

For laying a water pipeline in Amritsar, the Punjab Forest Department is going to axe 20,000 trees, Amritsar-based lawyer Ram Nath Seroha has alleged.

The project is called "Diversion of 18.54ha of forest land for project implementation unit (PIU) at Amritsar project namely, 'Works and Operation service of 440 MLD water treatment plant and associated Transmission Network and overhead service reservoirs along with UBCD' in Amritsar, at village Vallah to Khemkaran chon".

As the Forest Department has given clearance to this project, 20,000 green trees would be axed. The regional office of Ministry of Environment and Forest Wildlife has initiated an inquiry over this complaint recently. In a complaint letter to NGT and MOEFCC, lawyer Seroha said, "I am a retired army personal (*sic*) doing practice in the Amritsar district court for the last 20 years and closely watching forest activities, including the famous Doaba Canal case in which lakhs of trees were cut in which P.C.C.F., Punjab was found guilty by the NGT. Today another such tree cutting case in Punjab should be highlighted in the Punjab Forest Department, Chandigarh."

Pertinently, the total length of the proposed water treatment line is 12.51 km, which requires cutting of 20,000 trees, including

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POLL VIOLENCE

MAMATA RATTLED BY BJP'S FACT FINDING TEAMS VISITING BENGAL

SUPROTIM MUKHERJEE
KOLKATA

According to veteran political observers, West Bengal Chief Minister Mamata Banerjee has reaped rich dividends throughout her political career from her ability to sell her image as the persecuted underdog fighting against far larger opponents. Even then, when she told her lakhs of supporters on 21 July—which her Trinamool Congress celebrates as Shaheed Divas or Martyrs' Day—that the BJP government at the Centre had sent "154 fact-finding teams to Bengal in the past two years to harass her", the number quoted left observers mystified.

The fact remains that since May 2021 when the Trinamool Congress won the state for the third time, the BJP government at the Centre and the party have been sending team after team to West Bengal to investigate the goings-on in the state. "While the Central government has sent its teams to probe allegations of defalcation of funds from Central schemes, the BJP has been very active as well," says Biswanath Chakraborty, a political watcher and political science professor. "The idea is to keep giving wide publicity to the visits and keep the issues alive before the people," he adds.

BJP insiders say that the idea is to chip away at Mamata Banerjee's support base comprising women, Scheduled Castes and Tribes and the minority community. BJP leaders are taking pains to point out that most of those killed in election violence were from these three segments.

Since the 2021 Assembly elections, the Scheduled Caste Commission, led by chairman Vijay Sampla and vice-chairman Arun Haldar, has come to the state multiple times and has been vocal about the "torture faced by the SC community in West Bengal". The National Commission for Women also visited the state.

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MANUFACTURING HUB

India considering PLI scheme to take on China in chemical-petrochemical sector

NIVEDITA MUKHERJEE
NEW DELHI

Even as India gears up to emerge as a global manufacturing hub for chemicals and petrochemicals, the China factor in terms of aggressive output design on the back of its economic recovery production is a daunting prospect for India and its industry. This is being exacerbated by the ripples of geopolitical conflicts, destabilising of the supply chain for critical feedstock and flash price spikes hampering smooth operations. India is staring at the next few years being challenging in terms of sustaining margins. Aware of the need to push India's place in the world as a manufacturing hub and help battle the constraints, the government is considering a PLI scheme also for the chemicals and petrochemicals sector, as Finance Minister Nirmala Sitharaman said at a FICCI summit on global chemicals and petrochemicals manufacturing hubs in India.

What makes the current situation so critical for India is the huge stakes that the sector has in morphing India into a manufacturing powerhouse reliant on its own strength. The sector has been marching on despite disruptions with a market size around US$190 billion, which is likely to reach US$300 billion by 2025, growing expectedly by 10-11% between 2021-26 and by 7-10% by 2027-40 by tripling its global market share by 2040. The market of specialty chemicals itself is growing exponentially and industry in India is expected to grow at 12% CAGR. India has already made an impact in the sector with combined exports of major chemicals and petrochemicals in 2022-23 at US$9 billion, driven by the country's strong process engineering capabilities and low-cost manufacturing capabilities. Take Indian Oil's proposed Paradip Petrochemical Complex project at Paradip, Odisha, at an estimated cost of Rs 61,077 crore. This mega project will be largest-ever investment of Indian Oil at a single location for producing several petrochemical products and is a cutting-edge, state-of-the-art complex, which, says Shrikant Madhav Vaidya, Chairman, Indian Oil, will undoubtedly be transformative in its impact, "significantly advancing the Aatmanirbhar Bharat initiative".

The catch though is in the whopping increase in imports to US$13.33 billion, and hence, even as the growth surges ahead, India is facing an increasing gap between exports and imports, many of which are items which can be produced in India itself. India is growing

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TOP OF THE SATURDAY

INDIAN TEA OUTPUT DROPS 3.7% IN JUNE

KOLKATA: June 2023 saw a 3.7% drop in Indian tea production to 137.85 million kilograms, according to the Tea Board's provisional data. The decrease was mainly due to unfavorable weather and pest attacks in tea gardens, particularly flooding in Assam. These issues resulted in a 19% year-on-year reduction in the state's output. Despite a slight rise in West Bengal's output, the overall decline could impact the tea market's prices and supply.

AIR INDIA LAUNCHES PERFORMANCE TRACKER

NEW DELHI: Air India is set to introduce 'Rise. AI', a digital performance management system for its non-flying staff next week. The system is part of the Tata Group-owned airline's revival plan, offering a transparent appraisal system with clear job descriptions and performance goals. The move follows Air India's major order of 470 planes from Airbus and Boeing earlier this year, as the airline continues its strategic growth.

GST OF 12% APPLIED TO HOSTEL ACCOMMODATION

NEW DELHI: Hostel accommodation in India is now subject to a 12% Goods and Services Tax (GST), leading to higher costs for students, according to the Authority of Advance Ruling (AAR). The decision comes after the Bengaluru and Lucknow benches of the AAR clarified that hostels do not qualify as residential dwelling units for GST exemption. These changes, which impact accommodation services charging up to Rs 1,000 per day, may increase costs for Indian families, prompting calls for policy revision.

SHREE CEMENT STARTS WEST BENGAL CLINKER PRODUCTION

KOLKATA: Shree Cement has begun commercial production at its first clinker grinding unit in West Bengal's Purulia district. The unit, with an annual capacity of 3 million tonnes, will help meet the state's rising cement demand and create over 1,000 jobs. This boosts the company's total cement capacity to 49.90 MTPA, aiming for 72.4 million tonnes with a Rs 7,000 crore investment in the next phase. Meanwhile, the Ministry of Corporate Affairs is inspecting Shree Cement over allegations regarding related party transactions and corporate governance.

• Agencies

THIS FISCAL

OMCS' FY24 OPERATING PROFITS REBOUND TO RS 1 TRILLION: CRISIL

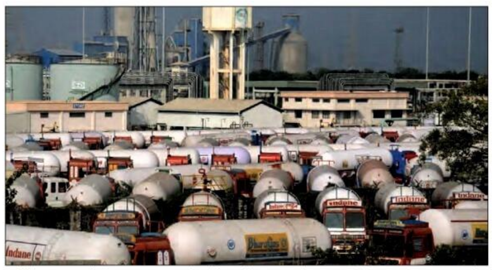
Profits may rebound by 3 times from FY23's Rs 33,000 cr, as softer crude improves credit metrics.

NIVEDITA MUKHERJEE
NEW DELHI

India's oil marketing companies (OMCs) could see operating profit rebound to Rs 1 lakh crore this fiscal, compared with an average of Rs 60,000 crore between fiscals 2017 and 2022 and thrice last fiscal's low of Rs 33,000 crore. The rebound in the operating profit of oil marketers is set to ride on softer crude and improvements in credit metrics despite large capex, as indicated by an analysis of three OMCs rated by CRISIL Ratings, accounting for the entire sector.

Government-owned OMCs earn from two businesses: refining, where they earn a gross refining margin, which is the value of refined products at the refinery gate minus the cost of crude oil used to produce them; and marketing, where they earn a margin on petrol, diesel, and other petroleum products sold mainly through retail pumps. According to a Government response in Lok Sabha on July 27, 2023, the refining capacity of crude oil by Indian refineries is 253.92 million metric tonnes per annum (MMTPA). Official data of the Ministry of Petroleum and Natural Gas (MoPNG) suggests that the refining capacity of Indian refineries is projected to increase by about 56 MMTPA by the year 2028, Minister of State (MoPNG) Rameswar Teli informed the House.

"This fiscal year should see a switch in the growth drivers," says Naveen Vaidyanathan, Director, CRISIL Ratings. Marketing margins could veer towards an operating profit of Rs 5-7 per litre,



while gross refining margins may moderate to USD $6-8 per barrel as the global product demand-supply imbalance eases. This forecast is predicated on crude oil prices averaging USD 80 per barrel and no cut in retail pump prices," says The Government has 52.98 percent (51.5 percent) stakes in BPCL and Indian Oil Corporation, while HPCL is 54.9 percent owned by ONGC.

The higher profitability would help improve the sector's credit metrics, which had weakened significantly in the past few fiscal years amid muted profitability and significant capital expenditure (capex), notes Crisil. In Budget FY24, the Government announced Rs 300 billion in capital support for OMCs. The rebound in operating profit is critical for the sector that has seen a significant increase in capex, as much as Rs 3.3 lakh crore between fiscals 2017 and 2023 to expand capacity in downstream refining and petrochemicals, product pipelines and marketing infrastructure. Capex will continue to be high this fiscal year and is estimated at Rs 54,000 crore. For instance, Bharat Petroleum Corporation has announced higher capex, investing Rs 1.3 trillion–1.5 trillion over the next 5-7 years, according to Anand Rathi research, and the PSU's operating cashflows and balance sheet are strong enough to fund this, but with the budgetary support announced by the Government, a Rs 300 billion grant to the OMCs for energy transition would be a means to implement this. It also notes that Q1 FY24 has been highly profitable for the OMCs, which resulted in recouping the weak H1 FY23 performance. The Crisil report finds that fiscal 2023 saw record gross refining margins averaging USD 15 per barrel. Global demand, particularly for diesel, was strong as prices of alternative fuels such as natural gas soared and the European Union imposed sanctions on Russian products. However, soaring crude oil prices, which averaged USD 94 per barrel for the fiscal year, were not accompanied by higher retail prices, which have remained unchanged since May 2022. What that means is that despite strong refining margins, marketing losses were steep at Rs 8 per litre, which kept the overall profitability of OMCs weak last fiscal. Gross debt more than doubled from Rs 1.2 lakh crore in fiscal 2017 to Rs 2.6 lakh crore in fiscal 2023, even as profitability remained subdued. There was a steady fall in the price

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ENERGY BASKET

INDIA'S GAS PIPELINE NETWORK EXPANDS, INDUSTRY URGES GAS SUBSIDY REFORM

NIVEDITA MUKHERJEE
NEW DELHI

In a strong push to enhance the share of clean energy in India's energy basket, the Government is looking to raise the share of natural gas in the energy mix to 15 per cent in 2030, achieve 5 per cent blending of bio-diesel in diesel or direct sale of bio-diesel by 2030, and have commissioned till June 2023 a total of 71 commercial-scale biogas/CBG plants under the Sustainable Alternative to Affordable Transportation (SATAT) plan or registered

on the GOBARdhan portal to contribute to the overall target of 15 MMTPA of CBG production.

The Government has upped the ante to raise the stakes by creating a National Gas Grid (One Nation, One Gas Grid) as well as increasing the availability of natural gas across the country. The Petroleum and Natural Gas Regulatory Board (PNGRB) has authorised an approximately 33,592 km natural gas pipeline network across the country. Out of this, 23,173 km of natural gas pipelines, including spur lines, tie-in connectivity, sub-transmission pipelines, and dedicated pipelines, are operational, and a total of 12,206 km of pipelines are under various stages of construction, according to a response by Minister of State in the Ministry of Petroleum and Natural Gas Rameswar Teli.

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BELT AND ROAD INITIATIVE

Chinese Vice Premier's visit fuels India's CPEC concerns

CORRESPONDENT
ISLAMABAD

Chinese Vice Premier He Lifeng's impending three-day visit to Pakistan, announced on July 29, underscores India's enduring concerns over the China-Pakistan Economic Corridor (CPEC). The Vice Premier's trip, scheduled from July 30 to August 1, coincides with the 10th anniversary celebrations of the CPEC, a project at the heart of the Belt and Road Initiative (BRI).

The CPEC, a sprawling network of infrastructure developments across Pakistan initiated in 2013, connects Gwadar Port in Pakistan's Balochistan with China's Xinjiang province. It's the centrepiece of the multi-billion-dollar BRI, a project that has stirred widespread global debate since its inception under Chinese President Xi Jinping in 2013.

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MUCH-NEEDED RELIEF

US lawmakers propose easing Green Card wait for Indians

CORRESPONDENT
WASHINGTON

In a move advocating for the rights of Indian immigrants, 56 US lawmakers, led by Congressmen Raja Krishnamoorthi and Larry Bucshon, have called on the Biden administration to expedite the processing of Green Cards for applicants from India. The lawmakers' request comes amid criticism of the 195-year waiting period for Indian applicants, which they argue has resulted in an unending state of limbo.

The group of bipartisan lawmakers has addressed their plea to Secretary of State Antony Blinken and Department of Homeland Security Secretary Alejandro Mayorkas. They suggest that by marking all employment-based visa applications in the Bureau of Consular Affairs' published Employment-Based Visa Bulletin as "current", the administration could provide much-needed relief to high-skilled employment-based visa holders.

Currently, Indian applicants face a daunting backlog due to the seven per cent country cap on employment-based Green Card allocation. As highlighted by the Foundation for India and Indian Diaspora Studies (FIIDS USA), this situation disproportionately affects Indian tech professionals, who significantly contribute to the highly skilled STEM talent in the US, and in turn, the country's competitive edge in technology industries.

However, the backlog has emerged as a substantial barrier, restricting these professionals from contributing fully to the US's growth and innovation, observed FIIDS. Throughout the year, FIIDS has been vocal about the concerns of the Indian immigrant community, particularly around Green Card and H-1B visa issues.

> Currently, Indian applicants face a daunting backlog due to the seven per cent country cap on employment-based Green Card allocation

The lawmakers assert that by marking all dates as "current", it would enable employment-based applications to be filed regardless of the applicants' country-based priority date. Such a move would not only help individuals attempting to legally navigate the US immigration system but also potentially make some eligible for employment authorisation documents. This could pave the way for them to change jobs, start businesses, and travel abroad without penalty.

Echoing the sentiments, Congressman Krishnamoorthi emphasised that by using its authority under the existing law, the administration can alleviate this burden while bolstering the economy and fostering job creation.

Adding to this, Congressman Bucshon lamented over the bureaucratic red tape which hampers legal immigrants from positively contributing to the nation and the economy.

The letter has been lauded by the President of Immigration Voice, Aman Kapoor, who stressed that the proposed measure would be a "game changer" for nearly a million high skilled immigrants. Kapoor emphasised the discriminatory nature of the current immigration system and urged the Biden administration to grant these long-standing immigrants the same rights to work and travel as those paroled into the US for the first time.

BUSINESS LANDSCAPE

THE GROWING ROLE OF 4PL LOGISTICS IN SUPPLY CHAIN MANAGEMENT

OPINION

PAWAN KUMAR

In today's rapidly evolving business landscape, supply chain management plays a pivotal role in determining an organisation's success. With the increasing complexity and global nature of supply chains, companies are seeking innovative solutions to streamline their operations, reduce costs, and enhance overall efficiency. In this pursuit, the concept of fourth-party logistics (4PL) has emerged as a game-changer, offering comprehensive supply chain solutions that go beyond traditional logistics management. This article explores the growing role of 4PL logistics in supply chain management and its impact on businesses worldwide.

UNDERSTANDING 4PL LOGISTICS

Before delving into its growing significance, it is essential to understand what 4PL logistics entails. A 4PL provider is a strategic partner that serves as an extension of a company's logistics function. Unlike third-party logistics (3PL) providers, who primarily offer transportation and warehousing services, 4PL providers assume a more holistic role. They become orchestrators of the entire supply chain, collaborating with multiple 3PL partners to optimise operations, manage information flows, and deliver end-to-end visibility and control.

Traditional supply chain management involves multiple parties, such as manufacturers, suppliers, distributors, and transportation providers, working together to ensure the smooth flow of goods from the point of origin to the final destination. In contrast, 4PL logistics represents a higher level of supply chain outsourcing, where a single entity takes on the responsibility of managing and coordinating the entire supply chain network on behalf of the client company.

A 4PL provider acts as an independent integrator, overseeing all aspects of the supply chain, including transportation, warehousing, inventory management, order fulfilment, and information technology systems. The key differentiator of 4PL logistics is the emphasis on strategic coordination and optimisation, aimed at maximising overall supply chain performance and delivering value-added solutions to clients.

THE ADVANTAGES OF 4PL LOGISTICS

· **Enhanced Supply Chain Visibility:** By consolidating and analysing data from various sources, a 4PL provider offers comprehensive visibility into the entire supply chain. This real-time information enables proactive decision-making and facilitates quick responses to disruptions, improving efficiency and reducing costs.

· **Streamlined Operations and Collaboration:** With a 4PL logistics model, companies can optimise their supply chain operations by leveraging the expertise of the provider. By tapping into their knowledge, technology, and global network, businesses can achieve streamlined processes, reduced lead times, and improved inventory management. 4PL logistics brings together multiple 3PL partners, creating a seamless network of suppliers, manufacturers, distributors, and retailers. This collaborative approach fosters streamlined operations, eliminating silos, redundancies, and inefficiencies. By optimising processes, reducing lead times, and enhancing communication, 4PL providers can significantly improve supply chain performance.

· **Flexibility and Scalability:** 4PL logistics providers possess the resources and capabilities to adapt quickly to changing market conditions and evolving customer demands. They offer scalable solutions that can accommodate business growth, seasonal fluctuations, and market expansions, allowing companies to focus on their core competencies.

· **Cost Savings:** By leveraging their network and expertise, 4PL providers identify opportunities for cost savings throughout the supply chain. They negotiate favourable contracts with transportation providers, optimise routes, consolidate shipments, and reduce inventory holding costs, resulting in improved profitability for the client company.

· **Focus on Core Competencies:** By outsourcing supply chain management to a 4PL provider, companies can redirect their internal resources and expertise to focus on core competencies such as product development, marketing, and customer service. This specialisation improves overall business performance and drives competitive advantage.

· **Technology integration:** 4PL logistics relies heavily on cutting-edge technologies to drive efficiency and agility. Through advanced supply chain management systems, including transportation management systems (TMS), warehouse management systems (WMS), and enterprise resource planning (ERP) platforms, 4PL providers integrate and optimise various processes. This integration enables seamless data exchange, efficient inventory management, and end-to-end visibility, empowering businesses with actionable insights.

THE FUTURE OF 4PL LOGISTICS

As global supply chains become more complex and interconnected, the role of 4PL logistics is expected to grow significantly in the coming years. Rapid advancements in technology, including artificial intelligence, the Internet of Things (IoT), and big data analytics, will further enhance the capabilities of 4PL providers, enabling predictive analytics, real-time tracking, and supply chain optimisation. Moreover, with the increasing emphasis on sustainability and environmental responsibility, 4PL logistics can play a vital role in promoting green practises. By optimising transportation routes, consolidating shipments, and reducing carbon emissions, 4PL providers contribute to a more sustainable supply chain ecosystem.

In the dynamic world of supply chain management, 4PL logistics is emerging as a strategic solution for companies seeking to enhance efficiency, reduce costs, and improve customer satisfaction. By centralising supply chain operations and leveraging their expertise, 4PL providers bring comprehensive visibility, streamlined operations, and cost savings to the table. As the industry evolves, the role of 4PL logistics is set to expand further, driven by technological advancements and the need for agile and sustainable supply chains. Businesses that embrace 4PL logistics will gain a competitive edge by focusing on their core competencies while benefiting from a well-optimised and resilient supply chain.

The author is the Co-Founder and CEO of ShipEase (https://www.shipease.in/), India's most efficient SaaS enabled logistics company.

INAUGURATION

VOLKSWAGEN STEPS UP BRAND PRESENCE WITH 3 NEW TOUCHPOINTS IN DELHI-NCR

NIVEDITA MUKHERJEE
NEW DELHI

Volkswagen India is strengthening its footprint and increasing brand accessibility with the inauguration of three new touchpoints in Delhi NCR, located in Dwarka, Paschim Vihar and Gurugram as it witnesses enhanced demand for its products and services across Delhi NCR.

With this, the brand has increased network strength in the region to 12 sales and 8 service touchpoints as part of the plan to take the national network presence to 175 sales and 130 service touchpoints across 129 cities. The sales touchpoints will encompass India's safest product portfolio comprising of the Taigun, Virtus and Tiguan. touchpoints in Delhi NCR. Strategically located in Dwarka, Paschim Vihar and Gurugram,

"As India's capital and a major metropolitan center, Delhi and the NCR region is a key growth market for us and we have been witnessing a surge in customer demand for our German-engineered and safe product portfolio," says Ashish Gupta, Brand Director, Volkswagen Passenger Cars India. The network expansion in three strategic locations will support the company in addressing the requirements of new car and pre-owned car customers in the region.

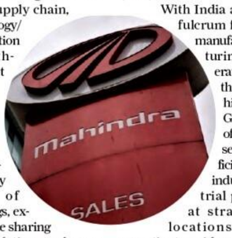
INTERNATIONAL FOOTPRINT

Mahindra to enable US companies in expanding global presence

NIVEDITA MUKHERJEE
NEW DELHI

As India ramps up efforts to revolutionise the global manufacturing and supply chain landscape, Mahindra Group – one of India's leading industrial enterprises – is poised to help American companies enhance their international footprint and expand by leveraging the advantages of India as a manufacturing hub.

The Group will support interested companies in setting up their manufacturing base in India in a range of ways, including through an integrated approach to manufacturing infrastructure, supply chain, technology/automation and others. It will also suggest a modular plug-and-play suite of offerings, expense sharing on regulations and compliance and environmental, social and governance (ESG) focus.



With India as the fulcrum for its manufacturing operations, the Mahindra Group offers self-sufficient industrial parks at strategic locations and expertise to guide companies through the approval processes. With its huge domestic market and established industrial base, it offers a robust manufacturing hub for global supply chains. The modular approach will further allow businesses to select products, services, and financing options from the Mahindra Group's entire suite of offerings based on their exclusive requirements. With a demonstrated commitment to the highest ESG standards, sustainable manufacturing solutions will be a key component of the initiative.

CONTINUED FROM PAGE 1

OMCs' FY24 operating profits rebound to Rs 1 trillion: CRISIL

CONTINUED FROM P1 of crude oil as the last fiscal progressed, which helped OMCs swing from an operating loss in the first quarter to strong profits in the fourth quarter. According to Joanne Gonsalves, Associate Director, CRISIL Ratings, despite continued capex, improved profitability should help shore up the standalone credit metrics of OMCs from last fiscal's low levels. "For instance, interest coverage could improve to 7.4 times versus 2.4 times last fiscal," says Jopanne.

Nomura Ratings points out that rising crude oil prices and product spreads are dragging refining margins down from recent peaks, which will have an impact on the profitability of OMCs in 2QFY23 if current trends continue. "HPCL will have the highest impact in this situation, given its higher share of marketing in earnings," says analyst Hemang Khanna. Nomura expects Reliance Industries and the OMCs—BPCL, IOCL, and HPCL—to be key beneficiaries of the strength in refining margins. Going ahead, Indian refiners will further benefit from advantageous crude oil sourcing, which will keep realised margins at a significant premium to benchmark margins.

CHINESE VICE PREMIER'S VISIT FUELS INDIA'S CPEC CONCERNS

Lifeng, an influential figure in China's international economic affairs and a key player in the BRI's implementation, is slated to call on Pakistan's president and prime minister during his visit. His role as the chief guest at the CPEC's decade milestone celebration underscores China's commitment to the project.

India has long expressed concerns over the CPEC, particularly due to its passage through Pakistan-occupied Kashmir. These concerns come against the backdrop of the BRI's broader implications. The BRI's ambitious network of land and sea routes linking Southeast Asia, Central Asia, The Gulf region, Africa, and Europe is seen as China's strategic move to extend its global influence.

Critics also highlight the risk of mounting Chinese debt for smaller nations participating in the BRI. The case of Sri Lanka handing over its Hambantota port to China in a debt-swap agreement in 2017 on a 99-year lease remains a stark reminder of such potential consequences.

The Pakistani foreign office emphasised the significance of Lifeng's visit as a sign of the continuing "All-Weather Strategic Cooperative Partnership" between Pakistan and China. However, India remains steadfast in its concerns over the project's sovereignty implications and the broader influence of China in the region, a narrative set to persist amid the festivities marking a decade of the CPEC.

INDIA'S ENERGY BASKET

INDIA'S GAS PIPELINE NETWORK EXPANDS, INDUSTRY URGES GAS SUBSIDY REFORM

While the current share of natural gas in the basket is 6.7 percent, India's natural gas consumption has grown by 4 to 5 percent CAGR over the past 20 years, points out Gurpreet Chugh, Managing Director at ICF, owing to the evolution of the gas mix with the substantial introduction of Liquefied Natural Gas, the expansion of the City Gas Distribution (CGD) network, and the emergence of technologies like Compressed biogas (CBG). While the current mix of domestic and imported gas stands at 50-50, the Government has indicated that the ratio could soon tilt in favour of imported gas due to increasing market demands. A similar transition as seen in the oil sector, driven by reforms in the 1990s, is on the horizon for the gas sector, leading to the dismantling of the APM. The increasing demand for gas and its relative cheapness compared to imported oil could well set the pace for an imported gas-based regime in India. The potential is underlined by the 45 million tonnes of free gas capacity in LNG terminals with only 25 MT coming through, allowing a significant opportunity for the LNG business to integrate with the natural gas industry. However, Chairperson of PNGRB Anil K. Jain feels that the persistent dichotomy between domestic and imported gas, which is splitting the market, must be dismantled for the sake of a cohesive natural gas industry. "There is every reason; gas availability is not a problem, but the markets in India need to amalgamate," says Jain. The PNGRB has also implemented a unified tariff with effect from April 2023 for the interconnected natural gas pipelines as part of the National Gas Grid plan. "Unified tariffs are a way of opening up markets, particularly in areas with difficult accessibility," Jain told the industry recently. To simplify the implementation of the unified tariff, an entity-level integrated natural gas pipeline tariff has been introduced in the regulations. Further, to protect the overall interests of consumers in different regions, the number of unified tariff zones has been increased from two to three. With 94 percent of the country under CGD licencing, Jain is optimistic about the remaining pipeline from Jammu to Srinagar and CGDs in the Northeast and hilly districts, as well as in J&K. The chairperson also stresses the necessity of infrastructure readiness for the other two segments of CGD—industry and commercial—signaling the likelihood of a second wave of investments.

While industry lauds the government's efforts in promoting domestic exploration and production through the introduction of revenue-sharing mechanisms, Prashant Modi, MD & CEO, Great Eastern Energy Corporation, and Chairman of the FICCI Committee on Oil & Gas, is of the view that for transforming India into a gas-based economy, there is a need for implementing a direct benefit transfer system for gas subsidies, similar to the LPG subsidy. "The establishment of a standard operating procedure for every layer of the gas infrastructure ecosystem to ensure compliance with laws gives the government the liberty to monitor at any given time," suggests Modi.

Chugh outlines several emerging opportunities for the gas sector, including the use of LNG in heavy-duty vehicles, an area where electric vehicles currently lack a viable solution, as well as the growth of compressed biogas (CBG), which also aids in reducing air pollution, and opportunities in biomass gasification. Under the Sustainable Alternative Towards Affordable Transportation (SATAT) programme, for establishing an ecosystem for the production of CBG and for promoting its use along with natural gas, oil and gas marketing companies are inviting expressions of interest to procure CBG from potential entrepreneurs.